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Swimming against the Tide

However bullish the overall sentiment, the market could not keep on rising indefinitely. And for all its logic, even the replacement cost theory had its limitations. The bulls were beginning to tire after a nearly one-sided rally that began in July and lasted up to mid-September, taking the Sensex up from around 1,275 to a new peak of 1,916.

The market then began to flag, and over the next one month shed around 200 points. I saw this as a good opportunity to have another go at ACC and recoup my losses of the previous year from short-selling the stock. The entire market had been baffled by the spectacular rise in ACC shares, and the short-sellers who tried to predict its peak price had to pay dearly. That, however, did not deter the more adventurous from taking up the challenge, but only to meet with a similar fate.

The stock had come close to hitting Rs 4,000 in early September, and even the most diehard supporters of ACC felt it was unlikely to go much higher.

Except Harshad.

Nemish Shah, a close friend of Harshad's and as much of a bull on the stock as he, sold out at around Rs 3,500 a share. This was a clear signal that the stock was now overvalued. What else could it mean, when one of the finest investors on Dalal Street decides to sell out in the face of strong demand for the stock? I told Prakash that there was good money to be made by short-selling ACC.

'A player of Nemishbhai's stature feels the stock is overvalued. What more do you want?' I told Prakash excitedly. But he did not share my